EXECUTIVE SUMMARY

1. Introduction

The Municipality of Langgangan, now Sta. Praxedes, Cagayan was formally established when it became a township of Cagayan Valley by virtue of Executive Order No. 65 of Governor Leonard Wood on November 11, 1922. It was renamed Sta. Praxedes in 1977 by virtue of Republic Act No. 1449.It consists of ten (10) barangays with a total land area of 110 sq. km. It is classified as a fifth class municipality.

The audit covered the accounts and operations of the Municipal Government of Sta. Praxedes, Cagayan for the year 2015 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

2. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Sta. Praxedes for the year ended December 31, 2016, with comparative figures for CY 2015, are as follows:

	2016	2015	Increase (Decrease)
Financial Condition			
Total Assets	P 87,517,723.22	P 41,613,027.05	P 45,904,696.17
Total Liabilities	12,571,441.44	14,732,987.27	(2,161,545.83)
Total Government Equity	74,946,281.78	26,880,039.78	48,066,242.00
Results of Operation			
Total Income	P 48,014,545,75	P 43,668,723.14	P 4,345,822.61
Total Expenses	40,580,124.07	37,029,649.36	3,550,474.71
Appropriations, Allotments and Obligations			
Appropriations	P 52,457,191.79	P 41,372,593.00	P 11,084,598.79
Allotments	52,457,191.79	41,372,593.00	11,084,598.79
Obligations	42,340,273.01	36,691,169.53	79,031,442.54

Comparative Statement of Funds Transfer to and from NGA's, NGO's and PO's.

	2016	2015	Increase/(Decrease)
Fund Transferred to Other Agencies:			
Due from NGAs	0.00	304,676.00	P (304,676.00)
Due from GOCCs	0.00	0.00	0.00
Due from LGUs	0.00	16,660.22	(16,660.22)
Due from NGOs/POs	0.00	0.00	0.00
TOTAL		321,336.22	P 321,336.22
Fund Received from Other Agencies:			
Due to Other NGAs	P 23,400,261.82	P 7,640,166.08	P 15,760,095.74
Due to LGUs	2,572,509.24	1,347,871.41	1,224,637.83
Due to NGOs/POs	0.00	0.00	0.00
TOTAL	**P 25,972,771.06**	**P 8,988,037.49**	**P 16,984,733.57**

3. Independent Auditor's Report on the Financial Statements

The auditor rendered an unqualified opinion on the presentation of the financial statements of the municipality of Sta. Praxedes as of December 31, 2016.

4. Summary of Significant Findings and Recommendations

The audit team noted the following audit observations with its recommendations to improve the performance and financial operations of the municipality;

1. **Multiple cash advances were granted to the Municipal Treasurer and OIC-Municipal Treasurer, hence allowing them to handle huge amounts of cash which could lead to possible loss, misuse and misappropriation and may also result to the delay in the liquidation thereof.**

   We recommended that the Municipal Government adopt a system of payroll payment through the Automated Teller Machine (ATMs) of banks which would result in:

   a. Convenience on the part of the Management since payroll payments are distributed from the payroll account maintained in an authorized government depository bank to the individual accounts of the employees;

   b. Convenience on the part of the employees since payrolls can be withdrawn anytime in ATM during their free time and which was located near the Municipal Hall;

c. Decreases if not eliminates the risk of loss or misapplication of funds;

d. Reduces cash advances handled by the Municipal Treasurer;

e. On time liquidation of cash advances.

Likewise, we also recommended that the Municipal Treasurer update his fidelity bond and require all accountable officers to file for fidelity bond.

2. **Outstanding checks totaling P2,778,124.68 as of December 31, 2016 include stale checks of P135,101.88 contrary to Section 59 of the Manual on the New Government Accounting System (MNGAs), Volume I, thus casting doubt on the accuracy, propriety and reliability of the accounts.**

   We recommended that the Municipal Treasurer to cancel the stale checks in his possession and furnish the Accounting Office with the original DV and its supporting documents, for them to prepare a Journal Entry Voucher and follow the procedures prescribed to ensure recording of such cancellation and adjustment in the books. If possible, coordinate with the Agency Bank to determine whether checks claimed by the payees were not yet presented to them, if so, secure the addresses of the payees for notification of the return of stale checks in their possession for replacement.

3. **Telephone Expenses totaling P1, 110,569.00 were not supported with documentary requirements in contravention to Section 4 (6) of Presidential Decree No. 1445, hence, the propriety and validity of the transactions could not be ascertained.**

   We recommend that Management comply strictly with Section 4 (6) of Presidential Decree No. 1445, particularly on complete documentation of disbursements to avoid suspension and disallowance in audit.

4. **The Municipality had disbursed a total of P273, 537.94 from the General Fund during the conduct of Gender and Development (GAD) Planning Conference held at Puerto Princesa, Palawan contrary to COA Circular No. 2012-003 dated October 29, 2012.**

   We recommend that Management:

   1. Strictly comply with the provisions of COA Circular No. 2012-003 on the prevention of irregular, unnecessary, excessive, or extravagant expenditures of funds or uses of property.
   2. Take full cognizance of the Municipality's primary responsibility and accountability to uphold prudent utilization of government funds for the welfare of its constituents.

3. Require the submission of the approved Itinerary of Travel of the sixteen (16) participants.

5. Salaries and wages amounting to P3, 318,481.00 were paid during the year to Job Orders without proper documentation in violation of Section 4 of Presidential Decree 1445 and Section 1.2.1 of COA Circular No. 2012-001 dated June 14, 2012. Job Orders were hired for no apparent specific project that were approved by the Sanggunian Bayan which is not in consonance with Section 77 of R. A. 7160, thus the legality, propriety and validity of the hiring and payment could not be ascertained. Likewise, there was no clear and written program, policy guidelines in hiring or engaging their services, which may result to excessive workforce, work duplication and eventual waste of financial resources.

With the above observations, we recommend the following:

1. Municipal Accountant should see to it that all disbursements were supported with complete documentation before paying the claim pursuant to Section 4.6 of Presidential Decree 1445 and Section 1.2.1 of COA Circular No. 2012-001 dated June 14, 2012 under the job order positions.

2. Maximize personnel holding permanent positions to do regular, administrative and clerical functions.

3. Specify project that necessitate the employment of job orders and ensure approval by the Sanggunian Bayan.

4. Management formulate a Program/Policy Guidelines in the hiring of job order personnel, taking into consideration the necessity of hiring and the reasonable number of job order employees to be assigned in the different offices to avoid excessive manpower and work duplication.

5. Limit the hiring of job order employees based on the approved annual budget.

5. Summary of Total Suspensions, Disallowances and Charges as of year-end

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	0.00	0.00	0.00	0.00	
Current Year	360,00.00	0.00	360,000.00	0.00	100%
Total	**0.00**	**0.00**	**0.00**	**0.00**	
Disallowances					
Prior Years	0.00	0.00	0.00	0.00	
Current Year	0.00	974,708.00	251,248.00	723,460.00	26%
Total	**0.00**	**974,708.00**	**251,248.00**	**723,460.00**	**26%**
Charges					
Prior Years	0.00	0.00	0.00	0.00	
Current Year	0.00	0.00	0.00	0.00	
Total	**0.00**	**0.00**	**0.00**	**0.00**	

6. Status of Implementations of Prior Years' Audit Recommendations

Out of the ten (10) audit recommendations embodied in the 2015 Annual Audit Report, two (2) were fully implemented, four (4) were partially implemented, and four (4) were not implemented. The Status of Implementation of Prior Year's Audit Recommendations is shown in part III of this report.